

12th March 2025

Exhibit A – Submission of Signed Contract

Date: 14 March 2025

From: Mr. Chan Tai Man and Legal Representative, Ms. Sarah Tan, Wong & Chan Solicitors

To: eBRAM International Online Dispute Resolution Centre, Arbitrator

This exhibit presents the original signed renovation contract between Mr. Chan Tai Man and Zhi Yu Engineering Company, dated 31 October 2024. The contract forms the legal foundation of the Claimant’s case, outlining the agreed scope of work, material specifications, project timeline, and payment terms.

Key Contractual Terms Summary:

	Clause	Description
1	Scope of Work	Interior renovation of 4,700 sq. ft. flat at Block 88B, Yee King Court, Tai Po Plaza, including demolition, masonry, waterproofing, plumbing, and door installation
2	Timeline	1 Nov 2024 – 15 Jan 2025 (75 days)
3	Materials	Includes premium-grade tiles, waterproofing membranes, quartz stone finishes, and stainless steel fixtures as specified in contract line items
4	Payment Terms	30% upon signing (HK\$660,600), 40% midway (HK\$880,800), 30% upon completion (HK\$660,600)
5	Total Contract Amount	HK\$2,202,000
6	Quality Standards	Compliance with Hong Kong Building Department standards and contract specifications
7	Dispute Resolution	eBRAM APEC Rules as per contract clause

The contract also includes clauses requiring prior written approval for any material substitutions and outlines penalties for delays. The full scope of work includes detailed line items for demolition, masonry, waterproofing, plumbing, and installation of fixtures.

Attachment:

- Original signed contract (31 October 2024)

Zhi Yu Engineering Company Renovation Contract

FOR INTERIOR DESIGN AND
RENOVATION MATERIALS

AT Block 88B, Yee King Court, Tai Po Plaza

Date: 31st October 2024

Contractor Information

- Company Name: Zhi Yu Engineering Company
- Address: 2/F, A22 Wing Sing Industrial Building, 88 Kwai Cheong Road, Kwai Chung
- Contact Person: Alex Chan
- Phone: +852 1234 5678
- Email: alex.chan@zhiyuengineering.hk

Project Address: Block 88B, Yee King Court, Tai Po Plaza

Usable Area: 4,700 sq. ft.

Scope of Work and Details

1. Preliminary Works

- a) Third-Party Insurance (coverage up to HK\$10 million): 1 item
- b) Unit Entrance Protection: 1 item
- c) Water Pipe Scaffold Setup: 1 item

Sub-total Cost (HKD): HK\$10,000

2. Demolition Works

- a) Removal of Main Door: 1 item
- b) Removal of Room Doors (2 doors): 1 item
- c) Removal of Kitchen and Bathroom Doors: 1 item each
- d) Demolition of Kitchen Wall and Floor Tiles: 1 item
- e) Demolition of Bathroom Wall and Floor Tiles: 1 item
- f) Removal of Living Room and Bedroom Floor Tiles: 1 item
- g) Removal of Kitchen Cabinets and Miscellaneous Items: 1 item

Sub-total Cost (HKD): HK\$528,000

3. Masonry Works

- a) New Kitchen Wall Plastering: 1 item
- b) New Kitchen Wall and Floor Tiling: 1 item
- c) New Bathroom Wall Plastering: 1 item
- d) New Bathroom Wall and Floor Tiling: 1 item
- e) New Bathroom Shower Base Foundation: 1 item
- f) Living Room and Bedroom Floor Raising and Wood-Pattern Tile Installation: 1 item
- g) Door Stops and Surfaces in Quartz Stone: Includes main door, kitchen, bathroom, and shower surfaces: 1 item

Sub-total Cost (HKD): HK\$895,000

4. Waterproofing Works

- a) Kitchen Waterproofing: Apply waterproofing up to 1200mm for sink area, 300mm for remaining areas
- b) Bathroom Waterproofing: 1800mm high in shower area, 1500mm in other areas

Sub-total Cost (HKD): HK\$315,000

5. Doors

- a) Main Door Installation: 1 set
- b) Bedroom Door Installation: 2 sets
- c) Kitchen and Bathroom Doors: 1 set each
- d) Shower Screen: 1 set

Sub-total Cost (HKD): HK\$228,000

6. Plumbing

- a) Kitchen Water Supply: Includes cold and hot water connections for sink, washing machine, and dishwasher
- b) Bathroom Water Supply: Cold and hot water for heater, shower, and sink

Total Cost (HKD): HK\$226,000

Project Timeline

- Start Date: November 1, 2024
- Completion Date: January 15, 2025
- Total Duration: 75 days

Payment Schedule

1. Initial Deposit: 30% upon contract signing (HK\$660,600)
2. Midway Payment: 40% upon completion of half of the works (HK\$880,800)
3. Final Payment: 30% upon project completion and final inspection (HK\$660,600)

Total Contract Amount: HK\$2,202,000

Dispute Resolution

Any dispute, controversy or claim arising out of or relating to this contract, shall be settled in accordance with the APEC Rules of eBRAM in force when the Notice of Claim is submitted to eBRAM (the “eBRAM APEC Rules”).

Signatures

Client Name: Chan Tai Man



Signature: _____
Date: 31st October 2024

Contractor Representative: Alex Chan



Signature: _____
Date: 31st October 2024

Exhibit B – Photographic Evidence of Substandard Materials

Date: 14 March 2025

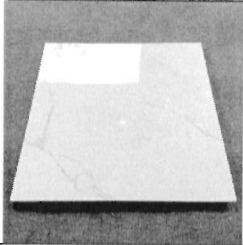
This exhibit includes annotated photographs documenting the use of inferior materials by the Respondent, in breach of the contract. The images compare the specified materials with those actually installed, highlighting discrepancies in branding, finish, and durability.

	Material	Specified	Installed	Key Discrepancy
1	Floor Tiles	Porcelain, 10mm, Brand A	Ceramic, 6mm, Brand X	Thinner, less durable, uneven finish
2	Waterproofing	Brand B membrane, 3-layer	Generic roll-on sealant	Lower water resistance, early signs of failure
3	Fixtures	Stainless steel (Brand C)	Chrome-plated plastic	Prone to corrosion, aesthetic downgrade

Attachment

- Annotated photo set (Tiling, Waterproofing, Fixtures)
- Comparison chart
- Expert notes

1. Tiling Comparison: Photos display the specified premium tiles alongside the installed lower-grade tiles. Annotations highlight differences in texture, thickness, and finish.

Specified tiles	
Installed tiles	

2. Waterproofing Quality: Photos showcase the specified waterproofing materials compared to the substitutes used. Annotations note discrepancies in thickness and brand differences, pointing out clear quality and durability issues.



3. Additional Material Discrepancies: Other instances of inferior materials (e.g., wall paint, fixtures) are compared, with annotations underlining visible flaws and nonconformance to contractual standards.



Expert Note:

An independent building materials consultant reviewed the photographic evidence and confirmed that the installed materials do not meet the durability and safety standards typically expected in residential renovations. The substitution of thinner ceramic tiles and non-branded waterproofing products significantly compromises the longevity and water resistance of the renovated areas. The use of chrome-plated plastic fixtures, instead of stainless steel, introduces a higher risk of corrosion and mechanical failure, especially in humid environments like bathrooms and kitchens.

Exhibit C – Project Timeline and Delay Documentation

Date: 14 March 2025

From: Mr. Chan Tai Man and Legal Representative, Ms. Sarah Tan,

To: eBRAM International Online Dispute Resolution Centre, Arbitrator

This exhibit provides a detailed timeline comparing the original project schedule with actual progress. It includes visual charts and email correspondence from the Respondent acknowledging delays.

The documented timeline serves to illustrate the extent of delays and missed deadlines by the Respondent, showing how these disruptions have directly impacted Mr. Chan and necessitated alternative living arrangements. This evidence supports Mr. Chan's request for compensation due to delays, as it highlights the Respondent's failure to adhere to agreed-upon milestones.

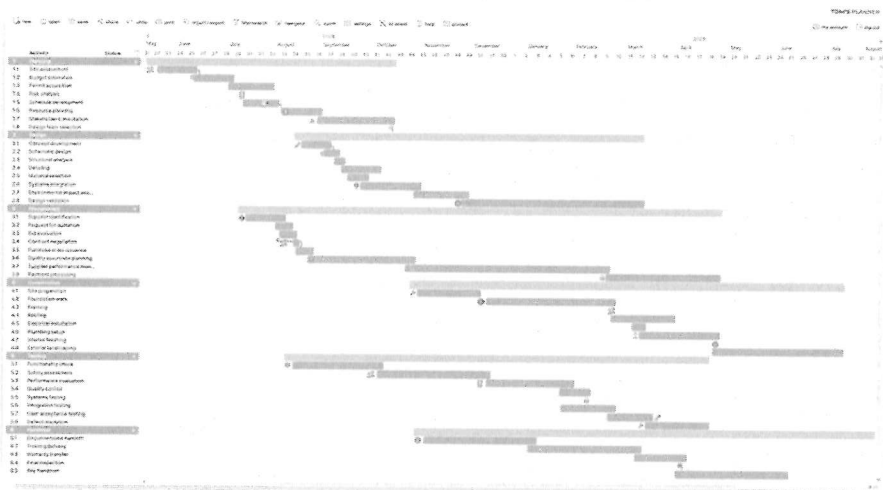
Included in this submission is a timeline juxtaposing the original schedule with the actual project progress, marking each missed milestone and the delay involved. The documentation is accompanied by email correspondence in which the Respondent informed Mr. Chan of these delays. This timeline shows the extended duration that affected Mr. Chan's ability to use his property as planned and contributed to additional financial burdens.

Milestone	Scheduled Date	Actual Completion	Delay
Demolition Completed	10 Nov 2024	18 Nov 2024	8 days
Tiling Completed	25 Nov 2024	10 Dec 2024	15 days
Waterproofing Completed	5 Dec 2024	20 Dec 2024	15 days
Final Handover	15 Jan 2025	7 Feb 2025	23 days

Attachment:

This documented timeline demonstrates the significant delays and missed deadlines by the Respondent, detailing how these interruptions have directly affected Mr. Chan's plans and forced him into alternative living arrangements. This evidence substantiates Mr. Chan's request for compensation, underscoring the Respondent's failure to meet agreed-upon project milestones and the consequential impact on Mr. Chan.

1. Original timeline:



A detailed timeline is provided, comparing the original project schedule with the actual progress achieved. Each missed milestone is marked, indicating the duration of delay associated with each phase. This timeline visually emphasizes the extended project duration and the cumulative effect on Mr. Chan's ability to occupy his property as scheduled.

2. Email Correspondence:

< Inbox



Zhi Yu Engineerin...
To: Chan Tai Man >

2nd March 2025

Delay in Delivery of Custom Fixtures for Interior Work

Dear Mr. **Chan**,

We regret to inform you that we are experiencing a delay in receiving the custom fixtures required for the interior work phase of your project. Our supplier has encountered production issues, leading to a backlog in their delivery schedule. This has impacted our ability to proceed as planned, resulting in an estimated delay of two weeks.

We apologize for this unexpected delay and appreciate your patience as we work with the supplier to resolve this matter as swiftly as possible.

Thank you for your understanding.

Warm regards,
James Chen
Project Manager
Zhi Yu Engineering Company



< Inbox



Zhi Yu Engineerin...

19th February 2025

To: [Chan Tai Man >](#)

Update on Waterproofing Installation Delay

Dear Mr. **Chan**,

We are writing to notify you of an additional delay in the waterproofing installation. The recent weather has significantly impacted our ability to complete the waterproofing as scheduled. Due to heavy rain, we have been unable to maintain the necessary dry conditions for proper application, and as a result, the installation timeline has been extended by approximately ten days.

We apologize for the delay and will continue to monitor weather conditions to resume work as soon as possible. We will keep you updated on any further developments.

Sincerely,
James Chen
Project Manager
Zhi Yu Engineering Company



< Inbox



Zhi Yu Engineerin...

19th February 2025

To: [Chan Tai Man >](#)

Delay in Delivery of Custom Fixtures for Interior Work

Dear Mr. **Chan**,

We are writing to notify you of an additional delay in the waterproofing installation. The recent weather has significantly impacted our ability to complete the waterproofing as scheduled. Due to heavy rain, we have been unable to maintain the necessary dry conditions for proper application, and as a result, the installation timeline has been extended by approximately ten days.

We apologize for the delay and will continue to monitor weather conditions to resume work as soon as possible. We will keep you updated on any further developments.

Sincerely,
James Chen
Project Manager
Zhi Yu Engineering Company



< Inbox



Zhi Yu Engineerin...

5th February 2025

To: [Chan Tai Man >](#)

Delay Notification for Tiling and Flooring Installation

Dear Mr. **Chan**,

We regret to inform you that the scheduled tiling and flooring installation phase will experience a delay. Our supplier has encountered unexpected shipment issues, resulting in a shortage of the specified tiles. While we are working to expedite the delivery, this situation has set us back by approximately two weeks.

We apologize for the inconvenience this may cause and appreciate your understanding as we work to resolve this supply issue. Please be assured that we are doing everything possible to prevent further delays.

Best regards,
James Chen
Project Manager
Zhi Yu Engineering Company



Exhibit D – Communication Records Regarding Project Issues

Date: 14 March 2025

This exhibit presents a series of communication records between Mr. Chan and the Respondent, Zhi Yu Engineering Company. These records include emails and messages that document Mr. Chan's repeated efforts to seek clarification and resolution regarding project delays, unauthorized material substitutions, and unexpected charges.

The communications demonstrate Mr. Chan's proactive approach in addressing issues as they arose, including:

- Requests for updated timelines and explanations for delays
- Objections to the use of non-specified materials
- Inquiries about additional charges not included in the original contract

These exchanges also reveal the Respondent's delayed or insufficient responses, which contributed to the breakdown in project coordination and trust.

Attachment:

- Email and message exchanges between Mr. Chan and the Respondent
- Screenshots of WhatsApp and email threads

Attachment

Included are email and message exchanges between Mr. Chan and the Respondent, covering topics related to delays, materials, and project costs.

< Inbox



Chan Tai Man

15th February 2025

To: James Chen >

Inquiry About Material Substitutions

Dear Mr. Chen,

During my last site visit, I noticed that some materials used for tiling and waterproofing appear different from what we specified in the contract. Could you please confirm if there have been any substitutions? I would appreciate detailed information regarding any changes made.

Thank you,
Chan Tai Man



< Inbox



James Chen
To: Chan Tai Man >

2nd February 2025

RE: Inquiry About Project Delays

Dear Mr. Chan,

Thank you for your email. Unfortunately, we are experiencing delays in the tiling and flooring phase due to a shipment issue with our supplier. We are currently working to resolve this, and I expect a delay of about two weeks. I apologize for the inconvenience and will keep you updated on our progress.

Best regards,
James Chen
Project Manager
Zhi Yu Engineering Company



< Inbox



Chan Tai Man

1st February 2025

To: James Chen, Project Manager, Zhi Yu Engineering Company >

Inquiry About Project Delays

Dear Mr. Chen,

I am reaching out to request an update on the progress of the tiling and flooring installation. According to our original schedule, this phase should be completed by now. Can you please confirm the current status and expected completion date? Any additional information regarding delays would also be appreciated.

Thank you for keeping me informed.

Best regards,
Chan Tai Man



10:04

4G



Zhi Yu Engineerin...
online



Hi Mr. Chan. Still waiting on the tiles from the supplier. It should arrive next week, and we'll start right away. Thanks for your patience!

12:40

Alright, please let me know as soon as they arrive

12:40 ✓

20th February 2025

James, I received the latest invoice, and it shows additional charges for "specialized labor." Could you explain what this is for? It wasn't discussed beforehand.

12:40 ✓

Hi Mr. Chan, that's for the extra work done on the waterproofing due to weather delays. We needed to take additional steps, which required more labor.

12:40

Please provide an itemized breakdown so I can understand what's included. This wasn't part of our original agreement.

12:40 ✓

Sure, I'll get that to you by tomorrow.

12:40



< Inbox



James Chen
To: Chan Tai Man >

25th February 2025

RE: Formal Request for Project Updates

Dear Mr. Lee,

Thank you for your patience. We understand your concerns regarding the timeline and additional charges. I am currently compiling an updated schedule and a breakdown of any extra costs incurred. I will send these details over by the end of the week.

Best regards,
James Chen



< Inbox



Chan Tai Man

25th February 2025

To: James Chen >

Formal Request for Project Updates

Dear Mr. Chen,

Following our previous exchanges, I am formally requesting an update on all current project phases, including anticipated timelines for remaining work. There have been multiple delays, and I need a clear understanding of when the project will be completed. Additionally, please provide documentation for any substitutions and extra charges applied.

Thank you for your cooperation.

Sincerely,
Chan Tai Man



10:04

4G



Zhi Yu Engineerin...
online



10th February 2025

Hi James, any updates on the tiling? It's been a week since the last update.

12:40 ✓

Hi Mr. Chan. Still waiting on the tiles from the supplier. It should arrive next week, and we'll start right away. Thanks for your patience!

12:40

Alright, please let me know as soon as they arrive

12:40 ✓

20th February 2025

James, I received the latest invoice, and it shows additional charges for "specialized labor." Could you explain what this is for? It wasn't discussed beforehand.

12:40 ✓

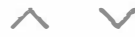
Hi Mr. Chan, that's for the extra work done on the waterproofing due to weather delays. We needed to take additional steps, which required more labor.

12:40

Please provide an itemized breakdown so



< Inbox



James Chen
To: Chan Tai Man

16th February 2025

RE: Inquiry About Material Substitutions

Dear Mr. Chan,

Regarding your concern, I can confirm that some materials were replaced due to supply issues, particularly with the waterproofing products. However, these substitutes meet industry standards and were selected for their durability. We apologize for not informing you in advance.

Sincerely,
James Chen



Exhibit E – Invoices and Financial Records

Date: 14 March 2025

This exhibit provides a detailed financial overview of the payments made by Mr. Chan in accordance with the renovation contract, as well as additional charges imposed by the Respondent without prior approval.

The documentation includes:

- Original payment receipts for the agreed contract amount (HK\$2,202,000)
- Invoices for unapproved additional charges

These records demonstrate Mr. Chan's full compliance with the agreed payment schedule and highlight the financial burden caused by unexpected and unauthorized expenses.

Attachment:

- Original payment schedule
- Invoices for additional charges

Attachment

Original payment:

Payment Schedule

1. Initial Deposit: 30% upon contract signing (HK\$660,600)
2. Midway Payment: 40% upon completion of half of the works (HK\$880,800)
3. Final Payment: 30% upon project completion and final inspection (HK\$660,600)

Total Contract Amount: HK\$2,202,000

Invoices:

Zhi Yu Engineering Company

INVOICE

Items	Price
Final payment	HKD 660,600
Additional Labor for Waterproofing (Due to weather delay)	HKD 333,500
Material Substitution for Waterproofing	HKD 202,000
Additional Cost for Specialized Paint (Unapproved material substitution)	HKD 201,500
Extra Labor for Rework (Due to Material Delay)	HKD 400,000

Total: HKD 1,797,600

Payment method:

Bank Name: Bank of Hong Kong

Account Name: Zhi Yu Engineering Company Ltd.

Account Number: 123-4567890

SWIFT Code: BOHKKHH

Branch: Central Branch, Bank of Hong Kong

Contact for Payment Inquiries:

Name: James Chen, Project Manager

Phone: +852 2345 6789

Email: accounts@zhiyueng.com.hk

Exhibit F – Property Valuation Report on Diminished Value

Date: 14 March 2025

This exhibit provides a professional valuation report assessing the impact of the substandard renovation work on the market value of Mr. Chan's property. The report was prepared by a certified property valuer with expertise in residential real estate in Hong Kong.

The valuation compares the projected market value of the property had the renovation been completed to the agreed specifications, against its current value following the use of inferior materials and poor workmanship.

Summary of Findings:

- **Expected Market Value (Post-Renovation as per Contract):** HK\$6,200,000
- **Actual Market Value (Post-Renovation with Defects):** HK\$5,980,000
- **Estimated Depreciation Due to Defects:** HK\$220,000

The report attributes the depreciation to:

- Use of lower-grade tiles and waterproofing materials
- Aesthetic inconsistencies and visible workmanship flaws
- Reduced buyer confidence due to perceived quality issues

This evidence substantiates the Claimant's request for HKD 220,000 in compensation for the diminished value of the property.

Attachment:

- Independent property valuation report

Independent Property Valuation Report

Date: 10 March 2025

Prepared by: Certified Property Valuer (Hong Kong)

Subject Property: Residential unit owned by Mr. Chan

Executive Summary

This report provides an independent valuation assessing the impact of substandard renovation work on the market value of Mr. Chan’s property. The valuation compares the projected market value had the renovation been completed to agreed specifications against its current value following the use of inferior materials and poor workmanship.

Summary of Findings

- Expected Market Value (Post-Renovation as per Contract): HK\$6,200,000
- Actual Market Value (Post-Renovation with Defects): HK\$5,980,000
- Estimated Depreciation Due to Defects: HK\$220,000

Attribution of Depreciation

The depreciation is attributed to:

- Use of lower-grade tiles and waterproofing materials
- Aesthetic inconsistencies and visible workmanship flaws
- Reduced buyer confidence due to perceived quality issues

Valuation Methodology

The valuation applies the Comparative Method (Sales Comparison) supplemented by a Cost-to-Remedy cross-check. Comparable transactions were analyzed and adjusted for differences in floor area, building age, renovation quality, and market conditions. The Cost-to-Remedy approach estimates the discount a prudent buyer would apply for rectifying defects.

Calculation Summary

Item	Amount
Expected Market Value	HK\$6,200,000
Actual Market Value	HK\$5,980,000
Diminished Value (Loss)	HK\$220,000
Diminished Value (% of Expected)	0.35%

Assumptions & Limiting Conditions

- Valuation assumes accurate identification of defects as per attached photo log.
- No structural defects identified; if discovered later, impact may be higher.
- Market data reflects typical purchaser behavior as of March 2025.
- Property assumed legally compliant with building regulations and DMC requirements.

Evidence Index

- • Independent property valuation report (this document)
- • Photographs and defect annotations
- • Market comparison data
- • Calculation worksheet
- • Valuer credentials & independence statement

Declaration

I hereby declare that this valuation has been prepared independently, applying professional standards and market evidence. The conclusion of HK\$220,000 diminished value reflects the impact of substandard renovation on market perception and resale potential.